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# Deviation or Fallback Legal Positions Guide: VI Business (India)

## 1) Executive Purpose and Applicability

This highly restricted document provides VI Business (India) commercial negotiators with pre-approved legal fallback positions, risk ratings, and mandatory escalation paths when facing non-standard customer RFP terms.

**Intended Audience:** Deal Desk, Legal Counsel, and Bid Managers. **Applicability:** For internal use during contract negotiation, MSA redlining, and submission of RFP "Statement of Compliance" annexures.

## 2) Definitions and Assumptions

**Definitions:**

- **Preferred Stance:** The boilerplate response VI Business initially proposes.
- **Fallback:** An acceptable compromise language pre-vetted by Corporate Legal.
- **Non-Negotiable (Red-line):** Terms we cannot compromise on due to DoT regulations, TRAI rules, or corporate risk appetite.

## 3) Detailed Core Sections

### 3.1 Limitation of Liability (LoL)

- **Preferred Stance:** Liability capped at 100% of the total fees paid by the Customer for the specific affected Service during the twelve (12) months immediately preceding the event giving rise to the claim.
- **Fallback Wording:** Liability capped at 100% of the total annualized contract value (Annual TCV) for the specific year in which the claim arises.
- **Non-Negotiable:** Under no circumstances will VI Business accept unlimited liability, or liability extending to indirect, punitive, or consequential damages (e.g., loss of profits/revenue).
- **Risk Rating:** High. Exceptional approval requires CFO and General Counsel sign-off.

### 3.2 Service Level Agreement (SLA) Penalties / Liquidated Damages

- **Preferred Stance:** Maximum monthly penalty capped at 10% of the monthly recurring charge (MRC) for the specific impacted link/service.
- **Fallback Wording:** Soft cap increase to 15% of MRC explicitly isolated to Tier-1 Hub Sites requiring 99.99% availability.
- **Non-Negotiable:** Penalties acting as Liquidated Damages (LD) that exceed 20% of the MRC, or penalties that deduct from unrelated services (e.g., penalizing Enterprise IoT billing for an SD-WAN failure).

### 3.3 Data Privacy and DPDP Act, 2023

- **Preferred Stance:** VI Business acts as a "Data Processor" for payload transport. 100% of SOC SIEM and telemetry data resides in India in Tier-III facilities.
- **Fallback Wording:** None. Regulatory mandate.
- **Non-Negotiable:** Any clause permitting unvetted third-party cross-border data transfer outside India lacking sovereign compliance mechanisms.

### 3.4 Termination for Convenience

- **Preferred Stance:** Not permitted during the initial lock-in period (typically 36 months).
- **Fallback Wording:** Permitted after 18 months, subject to a 90-day notice period and mandatory full repayment of unrecovered capital/installation costs (e.g., stranded SD-WAN CPE hardware).
- **Non-Negotiable:** Termination enabling the customer to walk away without payment of stranded hardware values.

### 3.5 Lawful Interception (DoT/TRAI Compliance)

- **Preferred Stance:** VI Business reserves the unilateral right to intercept, monitor, and hand over data to Indian governmental authorities as mandated by the Unified License, without prior notice to the customer.
- **Fallback Wording:** None. Regulatory mandate.

## 4) Evidence and Proof-Artifact Map

| Clause Family | Approver for Exceptions | internal Mechanism |
|---|---|---|
| Liability / Indemnities | Regional CFO | `Commercial_Deviation_Form_v3` (Salesforce) |
| Privacy (DPDP) | Data Privacy Officer | `DPO_Exception_Ticket` (ServiceNow) |

## 5) Governance and Ownership

- **Owner:** General Counsel, Enterprise Legal
- **Reviewers:** Deal Desk, Corporate Finance
- **Review Frequency:** Annually.

## 6) Constraints, Exclusions, and Dependencies

- **Constraints:** Fallbacks can only be initiated during formalized BAFO (Best and Final Offer) or MSA negotiation stages, not in the initial RFP draft compliance grids.

## 7) Proposal-Use Playbook

- **Compliance Matrix Rules:** If a customer RFP asks for Unlimited Liability, mark **"Partially Compliant" (PC)** or **"Non-Compliant" (NC)**, and paste the "Fallback Wording" from Section 3.1 into the deviation column. Never mark "Compliant" on Red-line terms.